

Japan Rates Topics

Outline of Public–Private Investment across 17 Sectors Begins to Take Shape

Summary

- At the joint meeting of the Council on Economic and Fiscal Policy and the Japan Growth Strategy Council held yesterday, the Takaichi administration presented its policy direction for public–private investment. The government envisages total public–private investment exceeding JPY 370 trillion by FY2040, with the growth strategy centered on AI and semiconductors (JPY 186 trillion) and biotechnology (JPY 98 trillion).
- The framework is designed to use government spending as a catalyst to encourage private investment, and the introduction of a new investment framework under the “Strong and Prosperous Japan” policy from FY2027 is under consideration, alongside potentially bold fiscal expansion.
- Funding is expected to be arranged through special accounts, with the use of bridge bonds likely. If the public–private mix is similar to that of GX investment, the government share would amount to approximately 15% of the total. Assuming spending is distributed over time, this would imply an annual scale of around JPY 4 trillion.
- However, the released materials include simulations assuming fiscal spending of around JPY 10 trillion per year, suggesting that a scale closer to this level cannot be ruled out. While the use of special accounts may preserve fiscal discipline in form, a substantial increase in calendar-based JGB issuance from FY2027 is a key concern.
- Additional fiscal factors are likely to accumulate, including expanded public–private investment, supplementary budgets associated with energy subsidies, consumption tax cuts, and higher defense spending. With multiple fiscal expansion factors progressing simultaneously, fiscal concerns are likely to persist for the time being.
- The Ministry of Finance will likely seek ways to mitigate the impact of the Takaichi administration’s expansionary fiscal stance on the JGB market, but if issuance itself continues to increase, this may exceed the Ministry’s capacity to respond. A better balance between expansionary and more prudent fiscal policy (i.e., prioritization across policy measures) will be important.

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Overall Picture of the JPY 370 Trillion Investment Policy

At the joint meeting held yesterday, the government presented the public-private investment policy under the Takaichi administration ([Link](#), Japanese only). Total investment across 17 sectors is estimated to exceed JPY 370 trillion cumulatively through FY2040, with a framework that leverages government spending as a catalyst for private investment.

By sector, AI, semiconductors, digital, and ICT-related areas account for JPY 186 trillion, while biotechnology and drug discovery account for JPY 98 trillion. The resources and energy sector is also sizable at JPY 29 trillion, with these areas forming the core of the growth strategy (Figure 1).

Prime Minister Takaichi also indicated that a new investment framework under the “Strong and Prosperous Japan” policy will be introduced from the FY2027 budget to support these investments. For investments aimed at raising potential growth, no upper limit will be imposed on ministry budget requests. Further details are expected to be included in the Basic Policy to be released in July.

Figure 1: Investment Areas across 17 Sectors

Tn JPY	by FY30-35	by FY40	Total	Tn JPY	by FY30-35	by FY40	Total
AI / semiconductors		101.6	101.6	Bio technology		33.6	33.6
Digital / cyber security	42.0	13.4	55.4	Drug/advanced medical		64.1	64.1
Information/ communications		28.8	28.8	Resources/Energy/GX		28.8	28.8
Quantum		13.2	13.2	Fusion energy		3.1	3.1
Defence industry		4.7	4.7	Disaster prevention	2.6		2.6
Aerospace		18.5	18.5	Ports logistics		1.2	1.2
Marine		3.3	3.3	Food Tech		9.7	9.7
Shipbuilding	1.1		1.1	Content (Game Anime etc)	9.2		9.2
Materials		16.9	16.9				

Source: J.P. Morgan, Cabinet Office

Establishment of Special Accounts and Use of Bridge Bonds

From a bond market perspective, the key focus is the extent to which these measures will translate into additional JGB issuance. These investments are planned over multiple years, and there is consideration to revise the current principle of limiting fund management to within three years, allowing for more flexible funding operations.

In addition, the new investment framework under the “Strong and Prosperous Japan” policy will be managed through a special account separate from the General Account, and bridge bonds are likely to be used for funding purposes. Bridge bonds provide a mechanism to cover temporary funding shortfalls, to be repaid using future revenues, and have already been used for GX Economic Transition Bonds, Semiconductor & AI Bonds, and Childcare Support Bonds.

That said, the scale and timing of government spending within total public-private investment remain unclear at this stage. Prime Minister Takaichi has only stated that “sufficient scale will be secured while ensuring fiscal sustainability.” While some sector estimates were presented through FY2030–2035, most figures extend to FY2040, making it difficult to estimate the scale and timing of government spending at this point.

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One useful reference point is the GX investment framework. Under that framework, government upfront investment of JPY 20 trillion over 10 years is designed to induce total public-private investment exceeding JPY 150 trillion, implying a government share of approximately 15% (Figure 2). Applying a similar approach, the government share of the JPY 370 trillion investment would also be around 15%, which, if distributed evenly over FY2027–2040, implies annual spending of roughly JPY 4 trillion.

On the other hand, the materials also include simulations under the “medium- to long-term economic and fiscal outlook under the Japan Growth Strategy” ([Link](#), Japanese only), which assume additional fiscal spending of JPY 10 trillion in FY2027, followed by increases broadly in line with inflation and wage growth. Even under this assumption, the debt-to-GDP ratio is projected to decline, implying that actual spending could exceed the earlier estimate of JPY 4 trillion and move closer to JPY 10 trillion.

Figure 2: List of Bridge Bonds

GX Economy Transition Bonds (CT Bonds)	
Purpose	Public-private GX investment (JPY150tn+) Govt upfront (JPY20tn)
Issuance	FY2023~2032
Issued	FY23 1.6tn · FY24 1.4tn · FY25 1.2tn · FY26 1.0tn
Redemption resources	Carbon pricing - FY28: Fossil fuel levy on importers - FY33: Paid emissions allowances for power generators
Maturity	By FY2050
Account	Energy Policy Special Account
Semiconductor & AI Bonds	
Purpose	Semiconductors / AI funding (FY25–30) Public support 10tn+ Subsidies ~6tn / Financial support 4tn+
Issuance	FY2025~2030
Issued	FY25 (0.0兆円) · FY26 (0.8兆円)
Redemption resources	Government financial resources : General account and FILP funds / Repayments from funds / Dividends and proceeds from asset sales
Maturity	By FY2050
Account	Energy Policy Special Account
Child & Childcare Support Bonds	
Purpose	Front-loaded measures (FY25–27, total 3.6tn)
Issuance	FY2024~2028
Issued	FY24 0.2tn · FY25 1.1tn · FY26 0.5tn
Redemption resources	Childcare support contributions (from FY26) Collected as a surcharge on health insurance premiums
Maturity	By FY2051
Account	Child and Childcare Support Special Account

Source: J.P. Morgan estimates, MoF

Fiscal Concerns to Persist

The investment framework involves the use of special accounts, which may avoid deterioration in the General Account primary balance, and the boost to GDP from investment may help prevent an increase in the debt-to-GDP ratio. However, even if fiscal discipline is maintained in form through the use of special accounts, underlying JGB issuance pressure could in fact intensify.

As multiple fiscal factors accumulate simultaneously, as outlined below, fiscal concerns are likely to persist in the bond market for the time being. The Ministry of Finance will likely seek ways to mitigate the market impact of the Takaichi administration’s expansionary fiscal stance, but if issuance volumes continue to rise, this may exceed its

ability to respond.

Attention will also focus on whether any changes are announced in JGB issuance plans from July onward. A better balance between expansionary and prudent fiscal policy (i.e., prioritizing policy measures, see Figure 3) will be required.

- Public–Private Investment: Bridge bond issuance to date has remained relatively limited, with GX bonds totaling JPY 5.2 trillion (FY23–26), Semiconductor & AI bonds JPY 0.8 trillion (FY25–26), and Childcare bonds JPY 1.8 trillion (FY24–26). However, if fiscal costs of around JPY 10 trillion per year are required solely for this public–private investment framework, the burden (JGB supply) on the bond market would become significantly heavier.
- Supplementary Budget (Second Round): A first supplementary budget of JPY 3.1 trillion has already been implemented for energy-related measures. However, gasoline subsidies of JPY 400–500 billion per month could be depleted in the near term, creating the possibility that a second supplementary budget will be required at an early stage.
- Consumption Tax Measures: A cross-party national council has proposed cutting the consumption tax rate on food to 1% for two years from April 2027, and introducing cash transfers to low- and middle-income households from around autumn 2027. The measures would be funded using roughly JPY 600 billion, equivalent to one percentage point of the food consumption tax. The overall fiscal cost is expected to reach around JPY 5 trillion annually. However, several concerns remain, including (1) the potential need for fiscal support for sectors negatively affected by the tax cut (e.g., restaurants and agriculture), (2) the risk that the tax rate cannot be restored to 8% after two years, and (3) possible delays in the design of the refundable tax credit system intended to replace the tax cuts. Attention will focus on whether an exit strategy for the tax cut and the feasibility of the refundable tax credit will be clarified.
- Defense Spending: Over the medium to long term, defense spending—already expanded to JPY 9.0 trillion in the FY2026 initial budget—will remain a key focus. Funding has been secured through a dedicated scheme (FY2023–2027) drawing on transfers from the Foreign Exchange Fund Special Account, repayments from public entities, and proceeds from selling government assets. However, such sources alone are insufficient, and defense-related tax increases (corporate tax, income tax, and tobacco tax) have already been implemented. Beyond FY2028, reliance on this funding scheme will no longer be possible, raising concerns over a “defense funding cliff” as funding shortages emerge. If defense spending is to be raised to 2% of GDP (JPY 13.4 trillion) in line with the revised national security strategy, this would add further pressure for fiscal expansion.

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Figure 3: Fiscal Concerns in the FY2026–2029 Budget

FY26 Supp.Budget	- JPY +3.1tn in total; no increase in JGB issuance in the market (fully pre-funded)
FY26 Supp.Budget 2nd	- Additional energy budget may be required as existing funds are depleted - Possible subsidies for firms facing energy supply constraints?
FY27 Budget	- Bridge bond issuance for growth strategy spending (~JPY 10tn per year?) - If consumption tax cuts are implemented → funding shortfall of ~JPY 4–5tn per year - Cash transfers (equivalent to 1% of the food consumption tax) - Possible support for adversely affected sectors (restaurants, farmers, etc.)
FY28 Budget	- "Defense funding cliff" → significant shortfall in defense funding - Continued burden from bridge bond issuance for growth strategy spending - JGB interest payment burden likely to increase significantly
FY29 Budget	- Whether the food consumption tax rate can be restored to 8%? - If restored → large transfers to low-income households likely? - Whether a smooth transition to refundable tax credits is achievable?

Source: J.P. Morgan estimates, BoJ

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